

Question 1

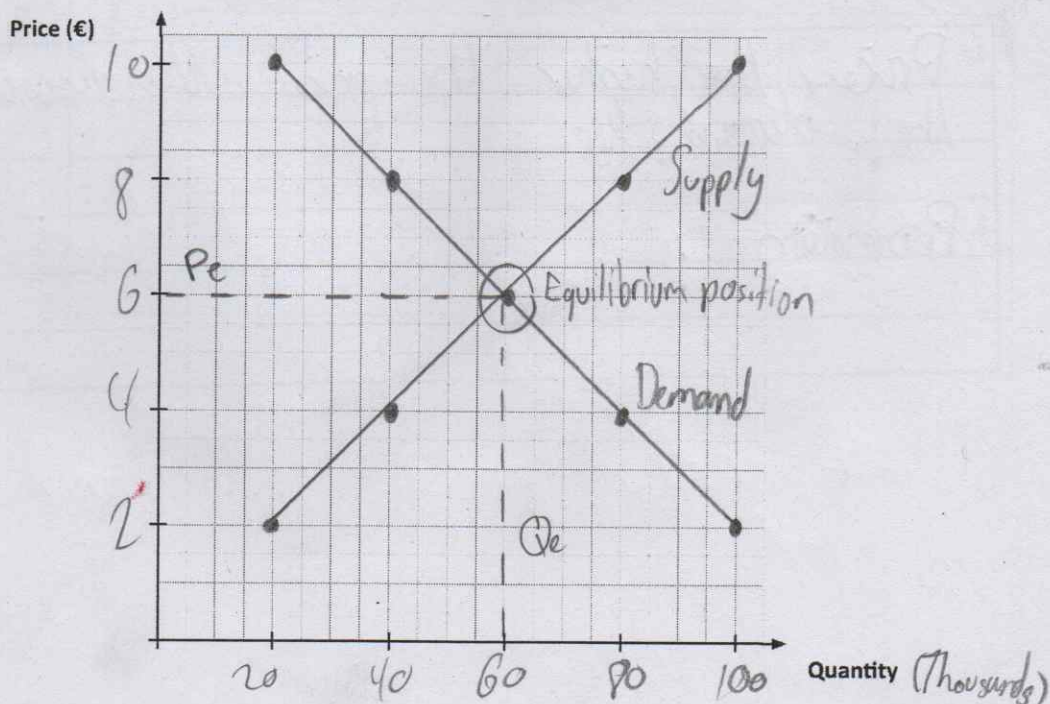
Question 18

- (a) The data below represents the market demand and the market supply schedules for a new breakfast cereal, called PowerGrain.

Price	Quantity Demanded (units)	Quantity Supplied (units)
€2.00	100,000	20,000
€4.00	80,000	40,000
€6.00	60,000	60,000
€8.00	40,000	80,000
€10.00	20,000	100,000

- (i) Using the data above, complete on the graph paper provided below:
- The **market supply** curve for PowerGrain
 - The **market demand** curve for PowerGrain
 - Show the equilibrium **price (P_e)** and the equilibrium **quantity (Q_e)** on the graph
 - Clearly label the **demand and supply** curve

Demand and Supply Curves for PowerGrain Cereal



Question 2

Question 11

Explain your understanding of the Law of Demand, using an example.

Price goes up; demand goes down
Price goes down; demand goes up

Example:

If the price of a hot chicken roll increased from €5.50 to €6, then fewer people would purchase it as it is more expensive. However, if it decreased to €5, then more people would go to the shop to buy it.

Question 3

Question 12

"Taylor Swift announces Dublin concerts"

The Irish Times June 20th 2023



Explain **two** factors which affect the demand for Taylor Swift concert tickets.

1. Price, the higher the price, the lower the demand.

2. Promotion

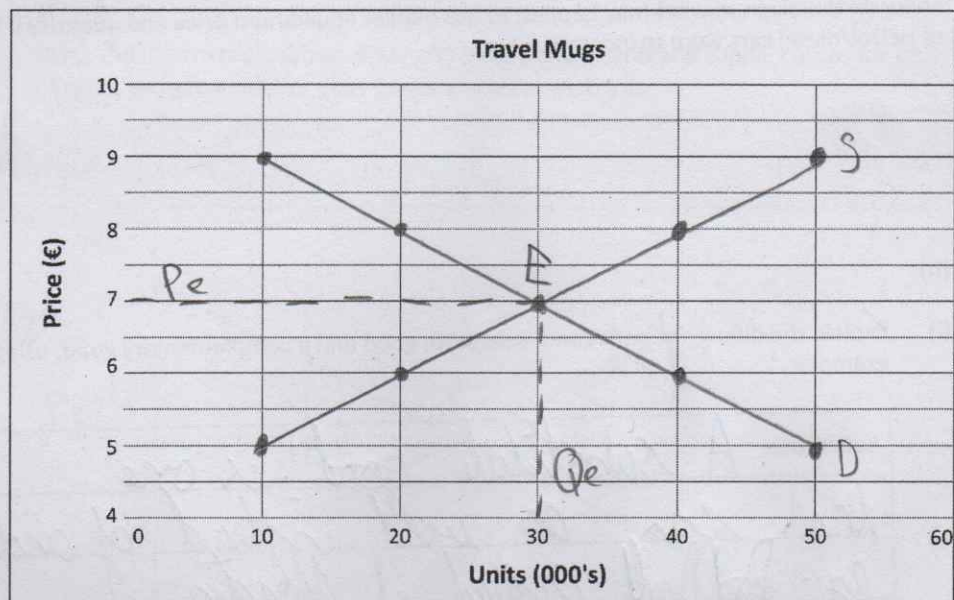
Question 4

Question 16

The information below represents the market demand and supply schedules for travel mugs for coffee.

Price €	Quantity Demanded (units)	Quantity Supplied (units)
9	10,000	50,000
8	20,000	40,000
7	30,000	30,000
6	40,000	20,000
5	50,000	10,000

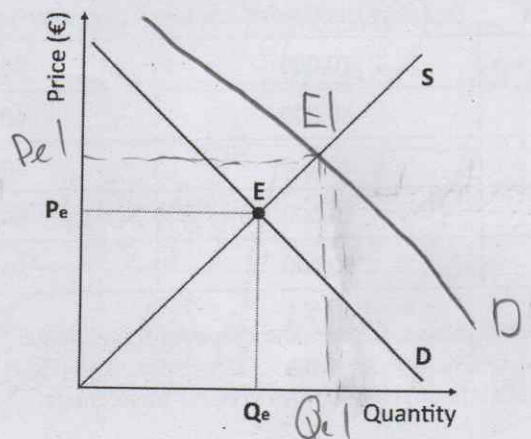
- (a) (i) Draw and label the market **demand curve** for travel mugs.
- (ii) Draw and label the market **supply curve** for travel mugs.
- (iii) Show in your diagram the **equilibrium price** and **equilibrium quantity** for travel mugs.



Question 5

Question 12

The diagram below shows the demand and supply curve for Electric Vehicles (EVs).



Show on the diagram what may happen to the market equilibrium **price** and **quantity** if the price of petrol/diesel cars were to increase.

Question 6

(b)

- (i) Explain the difference between a substitute good and a complementary good, using examples.

Substitute:	A substitute good is one that can be used instead of another, eg. Red Bull instead of Monster
Complementary:	A product that is used with another product, eg. controller and Xbox

Question 7

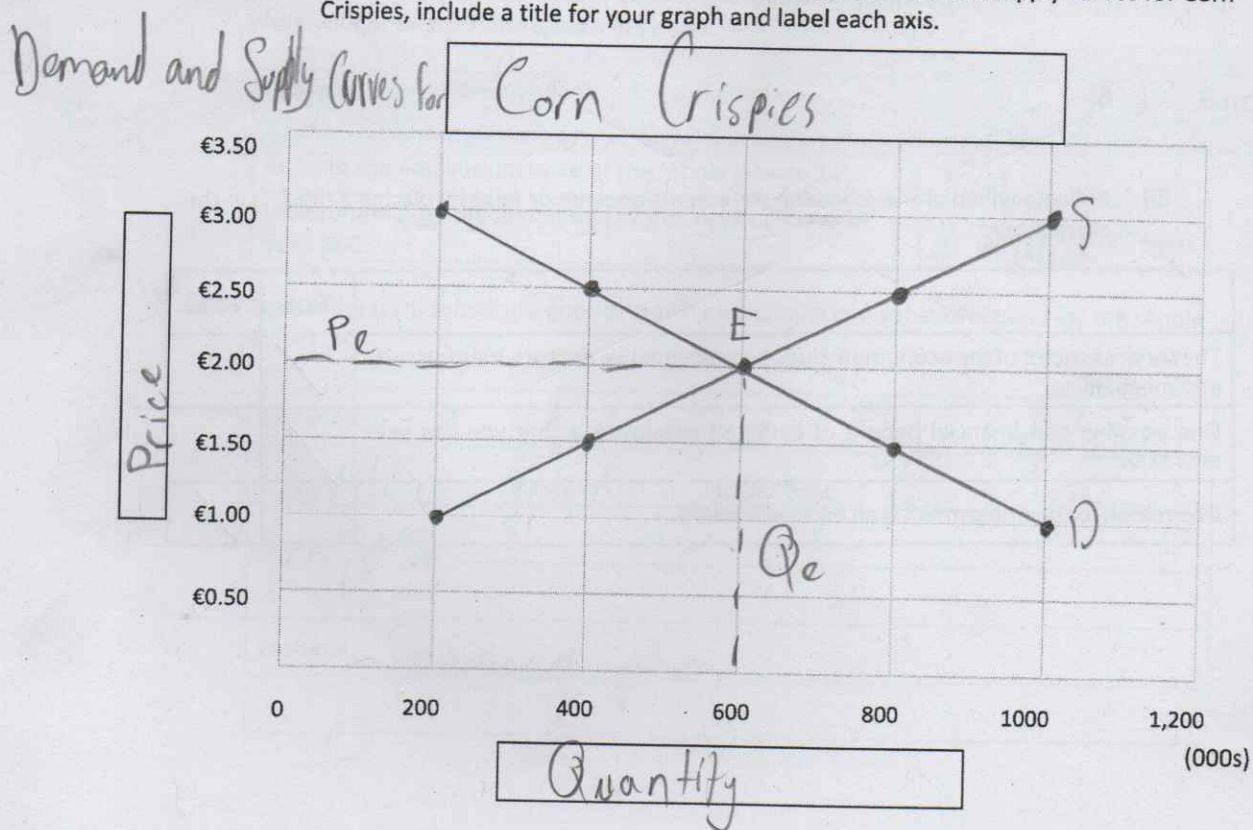
IMC/DL/ARBG-HQ/PO

- (c) A competitor has entered the breakfast market selling Corn Crispies, a fluffy and light morning cereal.

The predicted supply and demand from market research is listed below:

Price	Quantity Demanded (000s)	Quantity Supplied (000s)
€1.00	1,000	200
€1.50	800	400
€2.00	600	600
€2.50	400	800
€3.00	200	1,000

- (i) Using the information above, draw and label the demand and supply curves for Corn Crispies, include a title for your graph and label each axis.



- (ii) Using your diagram, or otherwise, identify the equilibrium price and equilibrium quantity.

Write your answers in the table below.

Equilibrium Price:	€ 2.00	
Equilibrium Quantity:	600,000	units

- (iii) Outline **two** factors other than competition, the new company should consider when deciding the price for their new product Corn Crispies.

1.	The cost of production
2.	The profit you want to make

Question 8

- (ii) Indicate which of the following statements are true or false by placing a tick (✓) in the correct box.

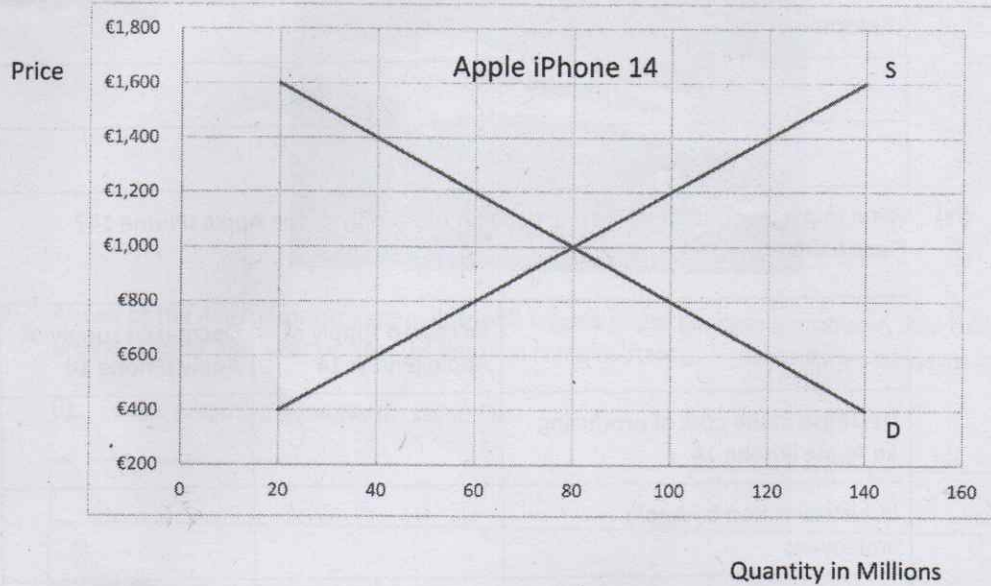
	True	False
The services sector of the economy includes employees like doctors, hairdressers, and mechanics.	✓	
One possible non-financial benefit of being an employee is that you can gain new skills.	✓	
One reason for unemployment is an economic boom.		✓

3

Question 9

CLEARBOS

(b) Apple iPhone 14



- (i) Use the above diagram to answer each of the following questions. Write your answers in the spaces provided.

Indicate the equilibrium quantity demanded of the 'Apple iPhone 14'.	80 million Units
Indicate the equilibrium price of the 'Apple iPhone 14'.	€ 1000
Indicate the quantity demanded of the 'Apple iPhone 14' at €1,600.	20 million Units

- (ii) Explain the term substitute good and give an example of a substitute good for the 'Apple iPhone 14'.

Explanation:	A good that can replace another good, serving the same purpose
Example:	Samsung phone

- (iii) If there was a reduction in supply of Apple iPhones, what impact would this have on the price of Apple iPhones? Give a reason for your answer.

Impact:	<i>Price rises</i>
Reason:	

- (iv) What impact would the following have on the supply of the Apple iPhone 14? Place a tick (✓) in the correct box.

	Increased supply of Apple iPhone 14	Decreased supply of Apple iPhone 14
Decrease in the cost of producing an Apple iPhone 14		
Industrial action by Apple employees		
A storm blew the roof off a factory producing the Apple iPhone 14		

Question 10



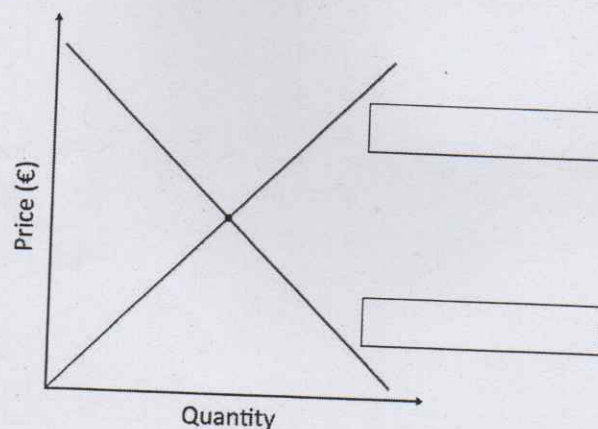
- (b) Ahead of the AGM, Smurfit Kappa, Europe's largest paper packaging producer, said that its profits rose by 33% year on year, as demand remains strong. *Adapted from rte.ie, June 2022*

(i) State what the letters AGM stand for.

(ii) Indicate which of the following statements are true or false by placing a tick (✓) in the correct box.

Statement	True	False
A Quorum is the number of people that argue at a meeting.		
Minutes are what was discussed and decided at a meeting.		
An Agenda is a list of items to be discussed at a meeting.		

(iii) Market equilibrium is when the quantity demanded equals the quantity supplied.
Fill in the correct title of each of the lines/curves on the graph below.



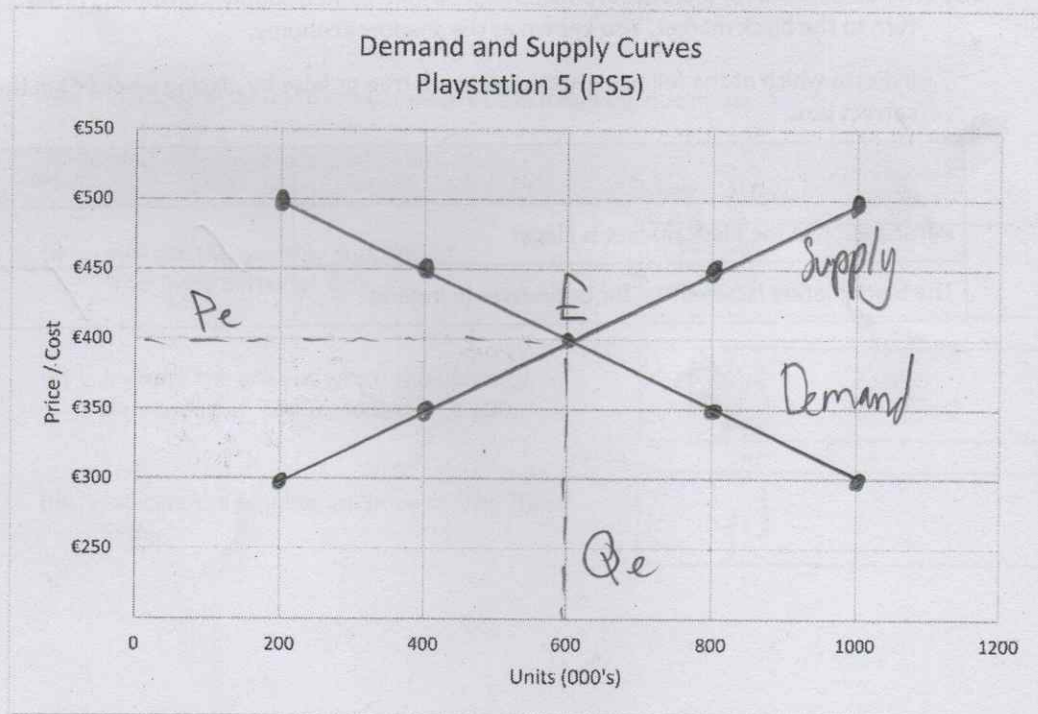
- (iv) Indicate which of the following statements are true or false by placing a tick (✓) in the correct box.

Statement	True	False
If business costs increase, businesses will supply less as it is too expensive to make the product.		
If the average income for households falls, demand for goods and services will increase because households have more money.		
If a product is in fashion, the demand for it will decrease.		

Question 11

- (c) Sam, a former Lohan Ltd employee secured a job as a buyer of electrical goods for resale for an electrical retailer. As a buyer of stock for resale, they need to project demand for various products to ensure that the store has the correct quantity to meet consumer demand.
- (i) Use the information in the table below to draw the demand and supply curves for the Playstation 5 (PS5).

Price	Quantity Demanded (000's units)	Quantity Supplied (000's units)
€300	1,000	200
€350	800	400
€400	600	600
€450	400	800
€500	200	1,000



- (ii) Use your diagram to identify the equilibrium price and equilibrium quantity.
Write your answers in the table below.

Equilibrium Price of the PS5	€400
Equilibrium Quantity of the PS5	600,000

- (iii) The price of substitute goods and complementary goods are factors that affect the level of demand for a product.

Indicate whether the following items are substitutes for or complimentary to a PS5 by placing a tick (✓) in the correct box.

	Substitute	Complimentary
Xbox	✓	
PS5 Controller		✓
Headset		✓
Gaming chair		✓

- (iv) When demand for a product remains high despite limited supply, consumers often turn to the black market, also known as the shadow economy.

Indicate which of the following statements are true or false by placing a tick (✓) in the correct box.

Statement	True	False
Participation in the black market is illegal	✓	
The black market is beneficial for businesses in Ireland		✓

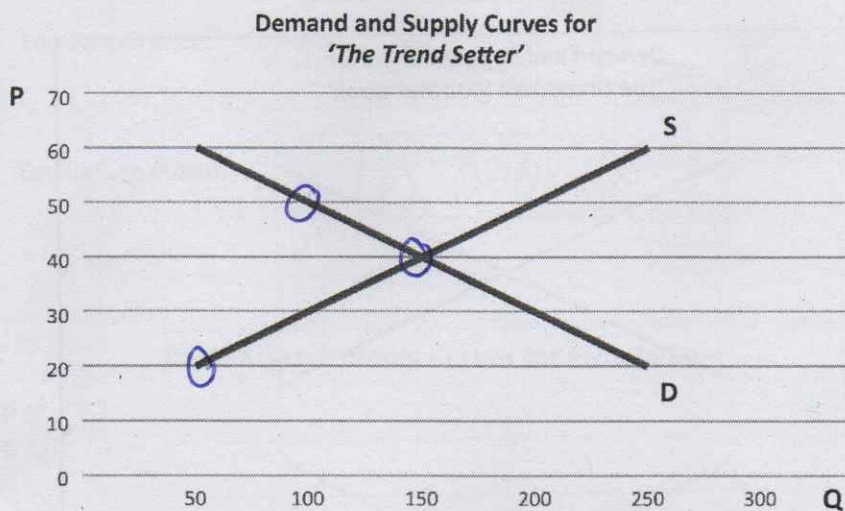
Question 12

Question 16

- (a) Hats Express Ltd is an award-winning retail hat shop located in Main Street, Galway City. The demand and supply curves for one of its popular hats, 'The Trend Setter', are shown in the diagram below.



Hats Express Ltd



Use the above diagram to answer **each** of the following questions.

Write your answers in the spaces provided.

- (i) Indicate the quantity supplied of 'The Trend Setter' at €20.
- (ii) Indicate the price at which the quantity demanded of 'The Trend Setter' is 100.
- (iii) Indicate the equilibrium price of 'The Trend Setter'.

50

€50

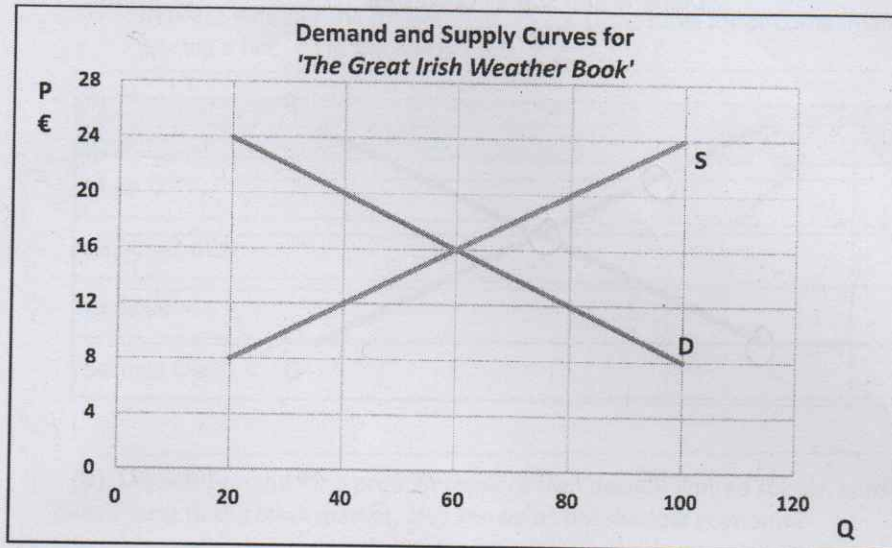
€40

Question 13

All questions carry equal marks.

Question 16

- (a) New Chapter is an award winning traditional bookshop located in Tinahely, Co Wicklow. The demand and supply curves for one of its books 'The Great Irish Weather Book' are shown in the diagram below.



Use the above diagram to answer **each** of the following questions.

Write your answers in the spaces provided.

- (i) Indicate the quantity supplied of 'The Great Irish Weather Book' at €20.

80

- (ii) Indicate the quantity demanded of 'The Great Irish Weather Book' at €8.

100

- (iii) Indicate the equilibrium price of 'The Great Irish Weather Book'.

€16

- (iv) What impact would the following have on the demand for books in New Chapter? Place a tick (✓) in the correct box.

	Increased demand for books in New Chapter	Decreased demand for books in New Chapter
A reduction in the price of books	✓	
An increase in taxes (VAT)		✓
Roll out of broadband to all areas in Wicklow		✓
An Eason's store opening in the town		✓

Question 14

(b) The demand and supply curves for the Pure Confectionery Company's protein bars are shown in the diagram below.

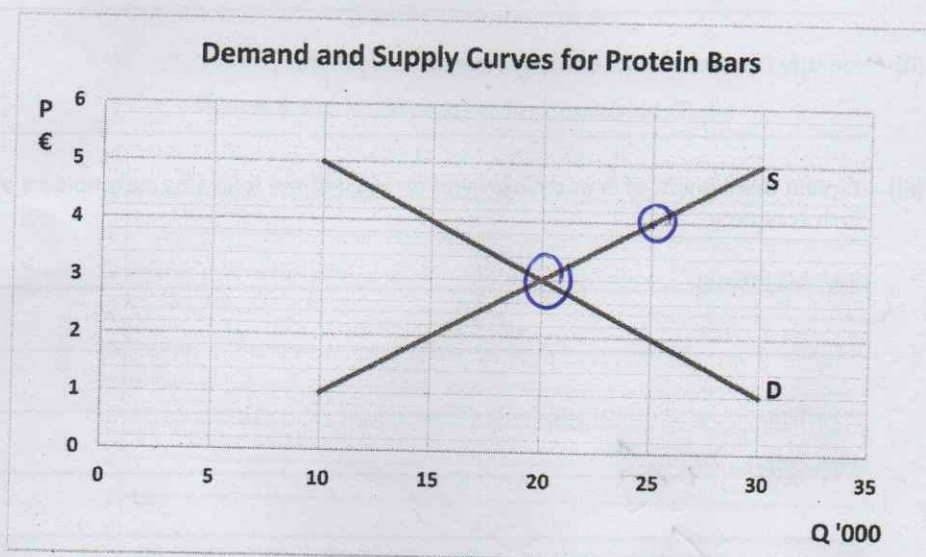
(i) On the diagram below show the equilibrium price and quantity of the protein bars. Write your answers in the spaces provided below.

Equilibrium price:

€ 3

Equilibrium quantity:

20,000



(ii) Use the above diagram to identify the price at which the Pure Confectionery Company would be prepared to supply 25,000 protein bars.

Write your answer in the space provided below.

Price:

€ 4

Question 15

Question 18

'2018 has seen Ireland's **economic growth** surpass Celtic Tiger figures'.

- (a) (i) Explain the term economic growth.

- (ii) Identify the measure of economic growth in Ireland.

- (iii) Explain **one** benefit of economic growth for **each** of the following stakeholders of the Irish economy.

Irish businesses

Irish citizens

Irish government

- (iv) The value of goods and services produced in Ireland was €80 billion in 2017 and €86 billion in 2018. Calculate the country's economic growth rate.

Economic growth rate =

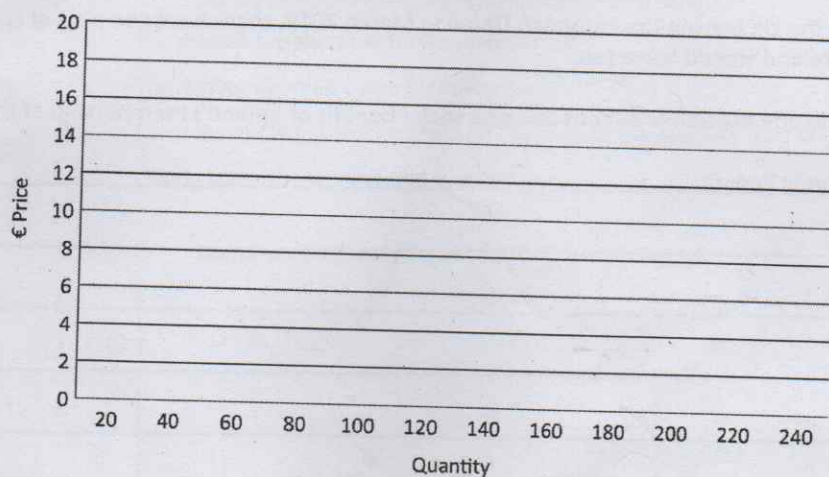
(b) The information below shows the market demand and supply schedule of household chairs:

Price (y axis)	Quantity demanded in units (x axis)	Quantity supplied in units (x axis)
€4	240	10
€8	190	50
€12	120	120
€16	50	190
€20	10	240

(i) Using the information given in the above table:

- Draw and label the market demand curve of household chairs.
- Draw and label the market supply curve of household chairs.
- Illustrate on the graph the market equilibrium price (P_e) and quantity equilibrium (Q_e) for household chairs.

Demand and Supply Curves for Household Chairs



- (ii) 70% of the sales of Craft Ltd, an Irish household chair company, are export sales to the UK. State whether you think Brexit will have a positive or negative effect on their business and give **one** reason why.

- (iii) Tick (✓) the factors below that influence the demand for a product/service.

FACTORS	
Price	
Cost of raw materials	
Consumer's income	
Cost of wages	

- (c) 'With the UK leaving the European Union in March 2019, there has been a lot of speculation that Ireland should leave too.'

Outline one **economic benefit** and one **social benefit** of Ireland's membership of the EU.

Economic Benefit:

Social Benefit:
